

# UniCredit - Banco BPM Acquisition

M&A Project



Financial Intermediation Analysis

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# Pre-Merge Balance Sheet Analysis



## NET WORTH AND PROFITABILITY

|           | Banco BPM | UniCredit | EU banking industry |
|-----------|-----------|-----------|---------------------|
| Net worth | 14.038 €  | 64.242 €  |                     |
| ROE       | 9,01%     | 14,80%    | 10,40%              |
| ROA       | 0,63%     | 1,21%     | 0,68%               |

Net worth is the difference between a bank’s assets and liabilities; a higher net worth means greater stability, lending capacity, and risk resilience.

**UNICREDIT IS MORE PROFITABLE THAN BANCO BPM ON ROE AND ROA.**

# Pre-Merge Balance Sheet Analysis



## RESERVE REQUIREMENT BANCO BPM

IF THE BANK IS NOT COMPLIANT THERE ARE DIFFERNT STRATEGIES THAT THE BANK CAN ADOPT

|                           | Banco BPM |
|---------------------------|-----------|
| Deposits from Customers   | 50.931 €  |
| Cash and Cash Equivalents | 18.297 €  |
| Required Reserve (2.5%)   | 1.273 €   |

### Borrow from other banks or Issue Certificates of Deposit (CDs)

- High costs (interest rates)
- Limited availability in tight market conditions due to liquidity risk.

### Borrow from the ECB

- Expensive
- Financial instability

### Sell Securities and Deposit Proceeds with ECB

- Transaction costs reduce returns.
- Quick sales may lead to fire-sale prices

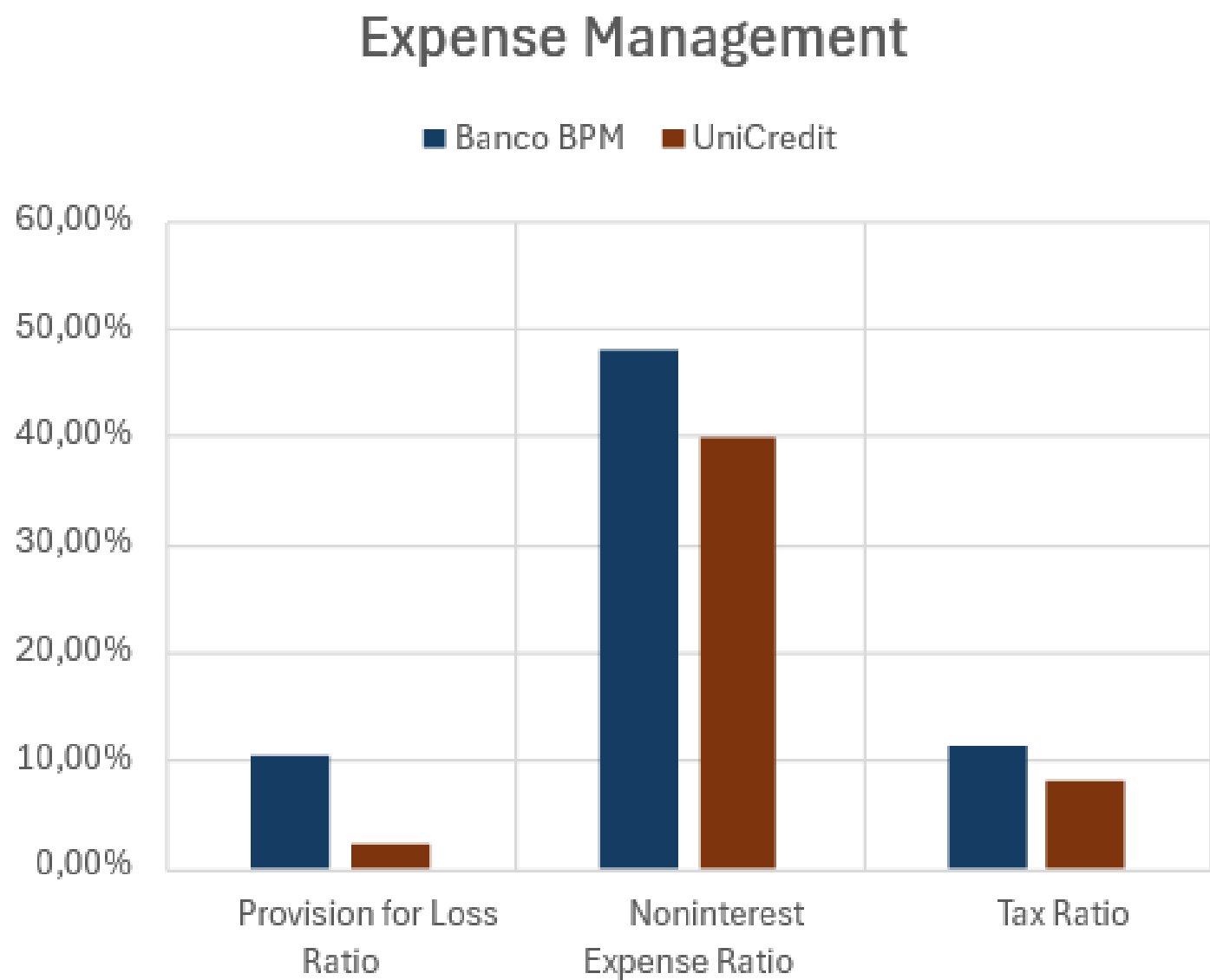
### Sell some Loans

- Weakens borrower relationships
- Selling at a discount results in financial losses

# Financial Performance Comparison



## Pre-Merge Balance Sheet Analysis



|                   | Banco BPM | UniCredit |
|-------------------|-----------|-----------|
| Asset Utilization | 2,64%     | 3,04%     |
| Profit Margin     | 23,67%    | 39,87%    |
| NIM               | 1,93%     | 2,04%     |

UNICREDIT SHOWS STRONGER PROFITABILITY INDICATORS THAN BPM, SUGGESTING GREATER EFFICIENCY IN CAPITAL DEPLOYMENT AND EARNINGS GENERATION.

# Pre-Merge Balance Sheet Analysis



## Loan Portfolio Write-Offs

IN CASE OF DISTRESS AND THE LOANS BECOMING IMPAIRED, THIS HAS A NEGATIVE EFFECT ON BOTH BANKS’ NET WORTH AS THEY WOULD DECLINE.

|                           | Banco BPM | UniCredit |
|---------------------------|-----------|-----------|
| Total Loans               | € 105.426 | € 429.452 |
| Net Worth                 | € 14.038  | € 64.242  |
| Non-Performing Loans %    | 8%        | 6%        |
| Loss on Loans             | € 8.765   | € 28.133  |
| New Net Worth             | € 5.273   | € 36.108  |
| Final Effect on Net Worth | -60,10%   | -47,2%    |

# EQUITY MULTIPLIER - BEFORE THE MERGE



Banco BPM

UniCredit

EQUITY MULTIPLIER

14,40

EQUITY MULTIPLIER

12,22

FORMULA

# EQUITY MULTIPLIER - AFTER THE MERGE

TOTAL ASSETS

TOTAL SHAREHOLDERS' EQUITY

EQUITY MULTIPLIER

12,61



EQUITY MULTIPLIER

15

TO RAISE THE EQUITY MULTIPLIER AND THEREFORE INCREASE ROE, THE BANK CAN EITHER REDUCE CAPITAL OR INCREASE ASSETS.



# Before the merge - Balance Sheet Analysis



## INTEREST RATE RISK

Banco BPM

leverage-adjusted duration gap  
6.841 years

UniCredit

leverage-adjusted duration gap  
7.054 years

THESE VALUES INDICATE THE SENSITIVITY OF THE BANKS' EQUITY VALUE TO CHANGES IN INTEREST RATES.

# Interest Rate Risk



| METRICS              | UNICREDIT | BANCO BPM |
|----------------------|-----------|-----------|
| ASSETS DURATION      | 8.067     | 8.324     |
| LIABILITIES DURATION | 1.093     | 1.594     |
| LEVERAGE             | 0.918     | 0.930     |

A decrease in interest rates increases the value of both assets and liabilities due to their positive durations. The predicted change in equity value is larger for UniCredit (€14,646,733.58) than for Banco BPM (€3,746,998.92), mainly because UniCredit has a significantly larger asset base and greater duration exposure.





# ASSET AND LIABILITY DURATIONS ANALYSIS

UNICREDIT'S ASSET BASE SHOWS A LONGER MATURITY PROFILE THAN BPM'S, SUGGESTING GREATER SENSITIVITY TO INTEREST RATE CHANGES AND A HIGHER DURATION RISK.

## EQUITY VALUE IMPACT

IN AN INTEREST RATE HIKE SCENARIO, BOTH BANKS WOULD SEE EQUITY VALUE EROSION, WITH UNICREDIT MORE EXPOSED DUE TO ITS LONGER ASSET DURATION AND HIGHER LEVERAGE-ADJUSTED GAP.

# STRESS TEST



1<sup>ST</sup> SCENARIO: INCREASE IN INTEREST RATES OF 100 BPS

2<sup>ND</sup> SCENARIO: DECREASE IN INTEREST RATES OF 50 BPS

## BANCO BPM

|                   | 1st scenario | 2nd scenario |
|-------------------|--------------|--------------|
| <b>Δ Equity</b>   | -13.827 €    | 6.913 €      |
| <b>New Equity</b> | 210 €        | 20.952 €     |

## UNICREDIT

|                   | 1st scenario | 2nd scenario |
|-------------------|--------------|--------------|
| <b>Δ Equity</b>   | -55.450 €    | 27.725 €     |
| <b>New Equity</b> | 8.791 €      | 91.967 €     |

Formula

$$\Delta E = -DGAP \times A \times \Delta R / (1 + R)$$

# Bank Run Scenario: Liquidity Impact on Banco BPM



Liquidation in 3 days

29.148.320,20 €

Liquidation in 5 days

34.935.426,44 €

Liquidation in one week

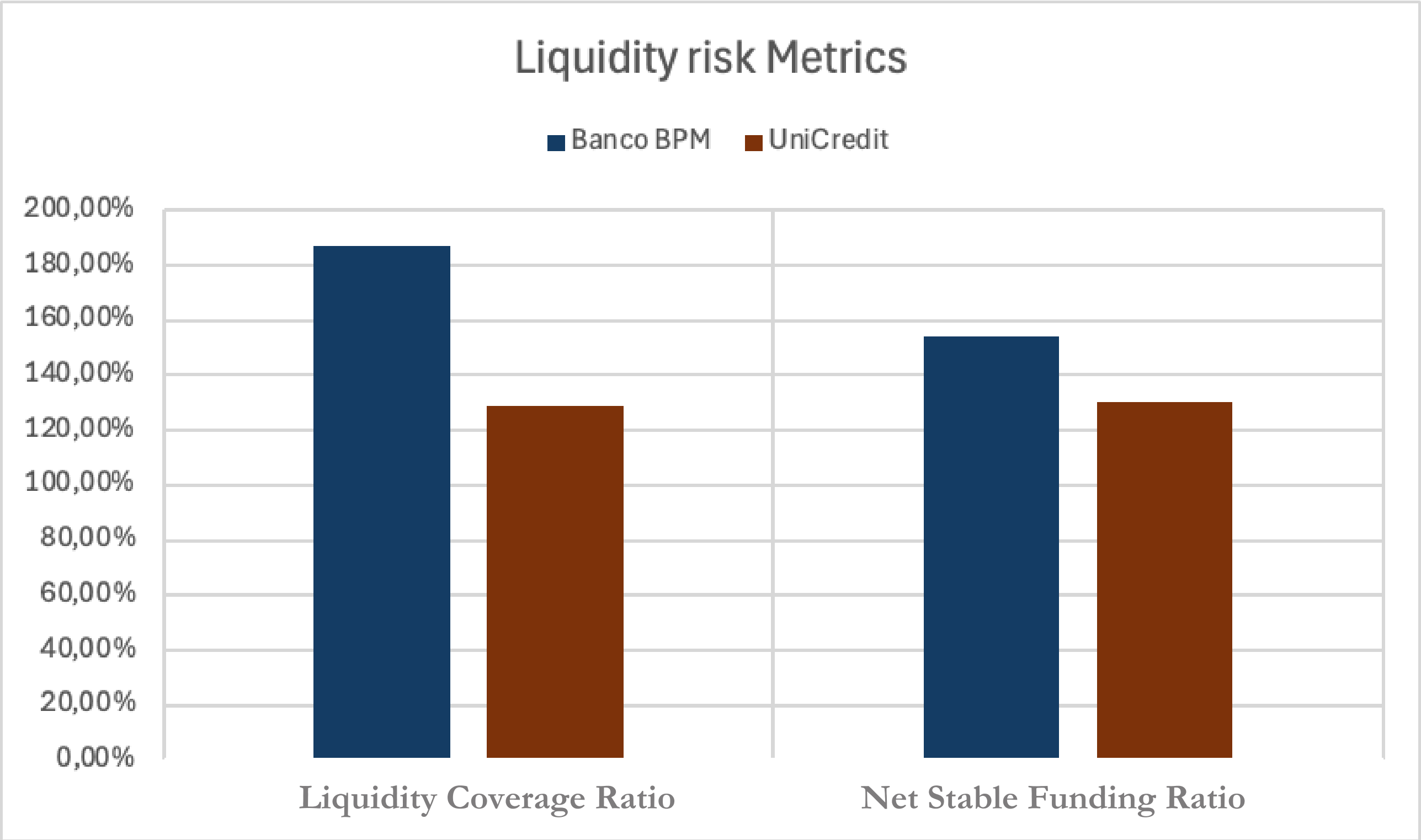
36.382.203,00 €

Deposits

50.930.982,00 €

Banco BPM risks selling assets at fire-sale prices in response to sudden deposit withdrawals. Rapid asset liquidation may weaken the bank's liquidity position through significant valuation losses, while delaying sales can preserve asset values but may still result in a liquidity shortfall. Additional borrowing remains a possible solution, although it becomes increasingly costly during periods of financial distress.

# Liquidity Risk Metrics







**Thank you!**